

Maxis Berhad

Recommendation **SELL** ★ ★ ★ ★ ★

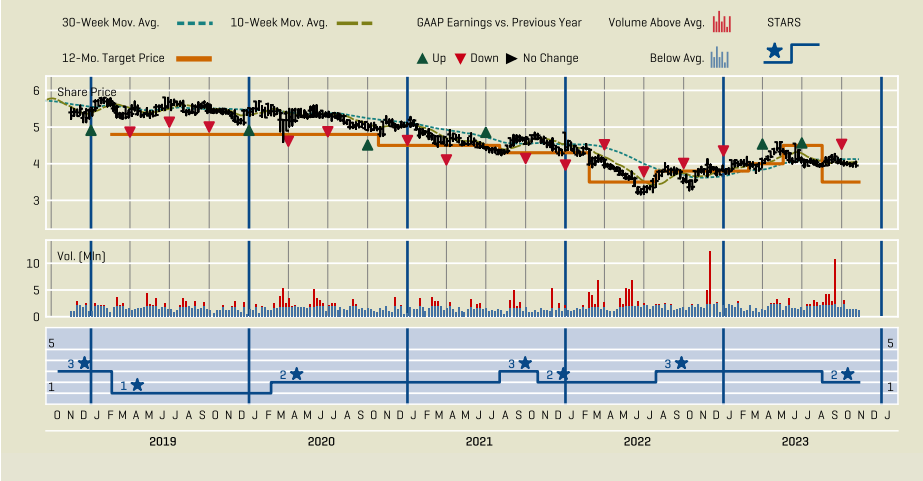
Price MYR 4.03 (as of market close Nov 10, 2023) 12-Mo. Target Price MYR 3.50 Report Currency MYR Investment Style Mid-Cap Blend

Equity Analyst Ahmad Halim, CFA

GICS Sector Communication Services Summary Maxis Berhad provides mobile and fixed line communications services in Malaysia. Sub-Industry Wireless Telecommunication Services

Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports]							
52-Wk Range	MYR 4.59 - 3.65	Oper.EPS2023E	MYR 0.16	Market Capitalization[B]	MYR 31.56	Beta	0.33
Trailing 12-Month EPS	MYR 0.16	Oper.EPS2024E	MYR 0.14	Yield [%]	4.47	3-yr Proj. EPS CAGR[%]	-3
Trailing 12-Month P/E	25.84	P/E on Oper.EPS2023E	25.19	Dividend Rate/Share	MYR 0.18	SPGMI's Quality Ranking	B-
MYR 10K Invested 5 Yrs Ago	8,927.0	Common Shares Outstg.[M]	7,830.00	Trailing 12-Month Dividend	MYR 0.18	Institutional Ownership [%]	19.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by Ahmad Halim, CFA on Aug 21, 2023 07:29 AM ET, when the stock traded at MYR 3.93.

Highlights

- ▶ The recent service revenue recovery indicates some success for Maxis' data and Home Fibre pivot. Its push for service convergence is positive, offsetting flattish Mobile service revenue. We also see some signs of a pickup in its Enterprise business. We project service revenue +3% in 2023 from higher Mobile service revenue [stable ARPU, subscriber gains for postpaid], Fibre, and Enterprise, and accelerating to +6% in 2024. In H1 2023, revenue +3%, on +3% service revenue growth [+5% consumer revenue on higher postpaid and fiber; Enterprise +5%]. Consumer postpaid led revenue gains [+9% on higher subs offsetting weaker ARPU] on pre-to-post migration, while prepaid -2%.
- ▶ We see net margin to rise slightly in 2023, on Maxis' focus on cost management and the lack of the Cukai Makmur impact in 2023. On the flip side, we see flat EBITDA margin as Maxis invests in emerging Enterprise services. We expect margin to see pressure in 2024 as Maxis plays a more direct role in the second 5G network rollout. In H1 2023, EBITDA +2%, with EBITDA service margin -0.4%pt on higher device costs and higher operation costs.
- ▶ We forecast 2023-2024 EPS of MYR0.16 and MYR0.14. YTD 2023 DPS was MYR0.08, -20%.

Investment Rationale/Risk

- ▶ We think revenue momentum from mobile services may stay tepid, but further deterioration is unlikely, while Maxis' postpaid strength, Home Fibre capabilities, and push for convergent services is positive. While the Celcom-Digi merger would not necessarily translate to lower prices [as this is value destructive for all], it does create a stronger competitor, weakening Maxis' market position, and reducing its network advantages. Further, we expect margin erosion as Maxis spends for the second 5G network rollout, particularly so if it aims to regain network advantage in the 5G race.
- ▶ Key upside risks to our recommendation and/or target price include: [i] higher margin from data expansion; [ii] significant customer and/or ARPU gains; [iii] lower-than-expected capex, spectrum, and content cost; and [iv] higher DPS payout.
- ▶ We think current valuation is expensive given potential earnings deterioration, with Maxis at a slight premium vs. its 5-year average forward P/E of 24x. A further cut to its dividends is not unlikely, given potential capex commitments and Maxis' relatively more leveraged balance sheet. Our 12-month target price of MYR4.50 is at 28x our 2023 EPS estimate.

Analyst's Risk Assessment

LOW MEDIUM HIGH

Our risk assessment reflects Maxis' positioning in the competitive Malaysian mobile telecommunication space, offset by potentially large 5G capex spend ahead.

Revenue/Earnings Data

Revenue (Million MYR)					
	1Q	2Q	3Q	4Q	Year
2024	--	--	--	--	E 10,350
2023	2,526	2,470	2,442	--	E 10,008
2022	2,406	2,424	2,405	2,554	9,789
2021	2,240	2,274	2,271	2,448	9,203
2020	2,341	2,151	2,213	2,261	8,966
2019	2,232	2,206	2,285	2,590	9,313

Earnings Per Share (MYR)					
	1Q	2Q	3Q	4Q	Year
2024	--	--	--	--	E 0.14
2023	0.04	0.04	0.04	--	E 0.16
2022	0.04	0.04	0.04	0.03	0.15
2021	0.04	0.05	0.04	0.04	0.17
2020	0.05	0.04	0.05	0.04	0.18
2019	0.05	0.05	0.05	0.04	0.19

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [MYR]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.0400	Aug 09	Aug 29	Aug 30	Sep 29 '23
0.0400	May 19	Jun 02	Jun 06	Jun 28 '23
0.0500	Feb 23	Mar 09	Mar 10	Mar 30 '23
0.0500	Nov 04	Nov 29	Nov 30	Dec 22 '22
0.0500	Jul 28	Aug 29	Aug 30	Sep 30 '22
0.0500	Apr 28	May 30	May 31	Jun 30 '22

Dividends have been paid since 2009 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Maxis Berhad

Business Summary Aug 21, 2023

CORPORATE OVERVIEW. Maxis was first listed on Bursa Securities in 2002 as Maxis Communications Berhad (MCB), which subsequently expanded into fast-growing mobile markets in Indonesia (PT Natrindo Telepon Seluler) and India (Aircel). Recognizing that the rapid expansion into these new markets may change the risk and financial profile of MCB, Maxis’ ultimate holding company - Binariang GSM Sdn Bhd - undertook the privatization of the group in May 2007.

In October 2009, MCB underwent a restructuring exercise to consolidate its Malaysian telecommunications operations while hiving off its overseas business into a separate arm. As a result, the Malaysian business was relisted on Bursa Securities in November 2009 as Maxis Berhad. As of 2022, Maxis’ largest shareholder is BGSM Equity Holdings, controlled by Malaysian billionaire Ananda Krishnan, with a 62.3% stake.

Maxis is a telecommunications service provider of mobile and fixed services in Malaysia. Maxis’ mobile services comprise two distinct brands - maxisONE for postpaid subscriptions and HOTLiNK for the younger segment focusing on prepaid, but also providing postpaid services. Of its 9.8 million subscribers as of 2022, 34% are postpaid, 59% are prepaid, and the remainder are home connectivity subscribers. Maxis’ biggest revenue generator is its mobile business, which generally makes up more than 80% of service revenue.

CORPORATE STRATEGY. Given the changing market dynamics and intensifying competition, Maxis is embarking on a transformation journey to position itself from a mobile operator to an integrated communications service provider. Since 2009, the company has undergone a series of evolutions, including the realignment of its corporate culture, strengthening its network build-up, fiber roll-out, and infrastructure sharing, mapping out its ecosystem of devices, innovation, and digital content.

Recognizing the need for investment prudence and network reach, management takes on a balanced approach between capex expansion and infrastructure-sharing as part of its network modernization plan. Capex has been falling slowly since peaking in 2015, with 4G LTE spend tailing off. However, in 2021, Maxis’ capex spend rose to an all-time high of MYR1.6 bln as it continues to spend to maintain its network leadership, although this has declined to MYR1.1 bln in 2022. Maxis has also been taking steps to accelerate data adoption and monetization (via e.g., new pricing plans for its MaxisONE postpaid offering). Competition in the market is unlikely to reach the peak levels of 2016, but price competition remains elevated, particularly for prepaid. Recognizing these challenges, Maxis aims to transform its business from a consumer and mobile-centric telco into a converged communications and digital services company by 2023.

FINANCIAL TRENDS. Maxis has been making aggressive market moves aimed at regaining market share and investing in its future data growth, which included significant tariff adjustments and retention initiatives. Total revenue over the last five years to 2022 has risen by 0.8% p.a. on average, while EBITDA margin has declined to 32.2% as of 2022, from a 5-year peak of 38.7% in 2018. From its position of dominance with a c.40% market share of mobile subscribers (prepaid + postpaid), Maxis has seen its share of the market fall to about 25%, in our estimates. Maxis had maintained a MYR0.40 DPS policy since 2010, but with capex increasing and the “new” Maxis likely requiring greater financial agility to compete in a difficult market, dividend payout was cut to MYR0.20 in 2015, and again to MYR0.04 per quarter from Q1 2020. This was raised to MYR0.05 per quarter by Q1 2022, but from Q1 2023, it was cut again to MYR0.04 per quarter. We do not rule out a further cut in 2024 as it seeks to fund its 5G network spending.

Corporate information

Investor contact

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Fax

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Website

www.maxis.com.my

Officers

Chief Executive Officer

S. E. Goh

Chief Financial Officer

C. F. Wong

Non Independent Non-Executive Chairman

M. Bin Mahathir

Board Members

A. M. AlGhamdi

H. T. Kheam

C. J. Ong

M. Bin Mahathir

G. K. Lim

M. K. Alharbi

H. B. Naziadin

M. M. Al-Jubeir

H. Ooi

U. K. Vivekananda

Domicile

Malaysia

Auditor

PricewaterhouseCoopers LLP

Founded

1995

Employees

3,978

Stockholders

39,077

Maxis Berhad

Quantitative Evaluations						Expanded Ratio Analysis					
Fair Value Rank	NR	1	2	3	4	5		2022	2021	2020	2019
LOWEST						HIGHEST	Price/Sales	3.07	4.11	4.41	4.47
Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].							Price/Tangible Book Value	-5.85	-7.99	-8.32	-9.65
							Price/Pretax Income	16.61	21.55	21.34	20.53
							P/E Ratio	25.43	29.04	28.58	27.56
							Avg. Diluted Shares Outstg. [M]	7,832.00	7,829.00	7,825.00	7,822.00
							Figures based on fiscal year-end price				
Key Growth Rates and Averages											
Past Growth Rate [%]								1 Year	3 Years	5 Years	
Net Income								NM	NM	NM	
Revenue								5.93	1.68	0.77	
Ratio Analysis (Annual Avg.)											
Net Margin [%]								12.07	13.88	15.45	
% LT Debt to Capitalization								45.81	42.96	44.03	

Company Financials Fiscal year ending Dec 31										
Per Share Data [MYR]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	-0.66	-0.61	-0.61	-0.55	-0.48	-0.51	-0.88	-0.94	-0.86	-0.69
Free Cash Flow	0.20	0.27	0.29	0.27	0.25	0.24	0.17	0.29	0.38	0.36
Earnings	0.15	0.17	0.18	0.19	0.23	0.28	0.27	0.23	0.23	0.24
Earnings (Normalized)	0.14	0.14	0.15	0.16	0.19	0.24	0.23	0.20	0.20	0.21
Dividends	0.20	0.16	0.16	0.20	0.20	0.20	0.20	0.20	0.40	0.40
Payout Ratio [%]	99.41	71.79	67.94	103.00	87.81	70.28	74.61	134.00	175.00	170.00
Prices: High	4.85	5.28	5.70	5.81	6.14	6.60	6.84	7.30	7.29	7.32
Prices: Low	3.16	4.23	4.59	5.07	5.13	5.48	5.36	6.22	6.21	6.21
P/E Ratio: High	32.10	31.60	32.30	30.10	27.00	23.20	25.50	31.50	31.90	31.10
P/E Ratio: Low	20.90	25.30	26.00	26.30	22.60	19.30	20.00	26.90	27.10	26.40
Income Statement Analysis [Million MYR]										
Revenue	9,789	9,241	8,966	9,313	9,192	9,419	8,612	8,601	8,389	9,084
Depreciation + Amortization	1,578	1,554	1,422	1,354	1,068	1,016	1,089	1,080	903.00	1,044
Operating Expenses	739.00	693.00	951.00	727.00	893.00	718.00	628.00	1,763	1,691	1,984
Effective Tax Rate [%]	34.80	25.80	25.40	25.40	24.90	24.30	26.50	29.00	29.20	29.00
Net Income	1,182	1,308	1,382	1,512	1,780	2,180	2,013	1,739	1,717	1,765
Net Income [Normalized]	1,133	1,101	1,158	1,267	1,481	1,810	1,716	1,529	1,514	1,605
Balance Sheet and Other Financial Data [Million MYR]										
Gross Property	16,455	15,279	14,290	13,649	12,059	10,948	9,740	9,228	8,474	8,094
Net Property	7,526	7,047	6,698	6,840	5,190	4,841	4,502	4,227	4,009	4,038
Capital Expenditures	1,720	1,633	1,396	1,371	1,413	1,492	1,487	1,512	978.00	540.00
Capital Exprd to Revenue [%]	17.60	17.70	15.60	14.70	15.40	15.80	17.30	17.60	11.70	5.90
% Long Term Debt of Capitalization	45.80	35.60	47.50	41.00	50.30	51.00	60.10	62.20	58.80	48.70
Capitalization: Common	6,369	6,725	6,715	7,001	7,149	6,946	4,721	4,190	4,715	6,002
Capitalization: Preferred	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Fixed Charges Coverage	4.59	4.23	4.16	4.50	6.51	2.95	6.41	-45.23	14.32	24.06
% Operating Ratio	32.19	34.52	34.83	36.11	38.67	42.72	46.98	45.92	44.31	43.50
% Net Income Margin	12.07	14.15	15.41	16.24	19.36	23.14	23.38	20.22	20.47	19.43
% Return on Invested Capital	6.89	7.10	7.42	9.02	10.58	12.89	12.87	12.85	12.81	13.00
% Return on Common Equity	18.10	19.50	20.20	21.40	25.30	37.40	45.20	39.10	32.00	27.10

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Maxis Berhad

Industry Outlook

Our outlook for the APAC Wireless Telecommunications sub-industry is neutral.

The Asian wireless telecommunication market is in a state of transition. In markets that have launched 5G services, subscriber growth and revenue are picking up. However, in most markets without a 5G catalyst, the saturated space begets slower subscriber growth. Pricing power and data yields are falling as companies struggle to differentiate their offerings. Increased real-time connectivity and substitution into over-the-top (OTT) services raised the demand for data at lower yields, resulting in a lasting negative revenue impact.

On the plus side, there is some evidence that the 5G rollout in China, Japan, South Korea, and Taiwan had some positive impact on ARPU and subscriber growth, which may help stabilize revenue momentum for players in these markets heading into 2023. Further, digitalization of the consumer experience and enterprise services are also positive revenue drivers in developed markets, with operators leveraging on the always-on multi-device connectivity, low latency, and high data speeds offered by their 5G and fiber networks. Most telcos in the region are looking to transition away from being solely a data pipe provider towards extracting more value by moving into adjacent, value-added digital services such as media content, financial technology, and cybersecurity.

The advent of 5G technology, with its ultra-low latency and simultaneous connectivity features, is a greater disruptive step change from simply providing faster speeds. In the long run, 5G will enable different revenue opportunities, including machine-to-machine communications (i.e., the Internet of Things), self-driving cars, and business virtual/augmented reality applications. However, in the short to medium term, we forecast monetization will be more limited to consumer use cases, particularly as 5G subscriber share increases in developed markets.

We expect capital expenditures (capex) to rise year-over-year in 2023, as the industry

compensates for delayed 5G rollout due to Covid-19. We believe this will pressure industry cash flows but will be offset by evidence of some revenue growth from 5G adoption. Nonetheless, we expect 5G capex in Asia to have peaked in 2022, with further growth to see measured rollout in tandem with growing consumer and enterprise use cases, and as companies take a shared approach to network expansion for 5G.

Regulatory action in recent years, whether on tariffs (e.g., Malaysia on fixed broadband; China, Japan, and South Korea on mobile data) or on competition (e.g., Australia's initial opposition to the TPG Telecom and Vodafone Hutchison merger), indicates elevated risk. Competitive risks are also high with new entrants in Singapore, Australia, and the Philippines. However, these risks have receded in the last 12 months as the issues raised by the regulators were addressed and as new competition is digested.

In a low-growth environment, we expect companies to look for opportunities for synergy and scale via M&A. However, regional complications represent significant barriers to cross-border M&A, in CFRA's view. This is exemplified by Axiata and Telenor's initial failure in 2020 to merge their telecom assets in Asia (although this was completed in 2022 at the second attempt).

/ Ahmad Halim, CFA

Sub-Industry: Wireless Telecommunication Services Peer Group*: Wireless Telecommunication Services

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Maxis Berhad	MAXIS MK	KLSE	MYR	4.03	31,548.0	0.8	4.4	26.0	N/A	4.5	19.3	45.4
Axiata Group	AXIATA MK	KLSE	MYR	2.45	22,512.0	0.8	-14.3	NM	N/A	6.1	-19.1	32.3
DiGi.Com	DIGI MK	KLSE	MYR	4.26	49,989.0	-1.6	10.4	44.0	N/A	3.0	11.6	22.9
Singapore Telecommunications	ST SP	SGX	SGD	2.40	39,571.0	-0.4	-5.9	12.0	N/A	4.1	11.7	20.8
StarHub	STH SP	SGX	SGD	1.08	1,851.0	-0.9	2.9	27.0	N/A	4.6	11.6	51.4

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA- Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Maxis Berhad

Analyst Research Notes and other Company News

August 17, 2023

04:03 AM ET... CFRA Trims Opinion on Shares of Maxis Berhad to Sell from Hold [MAXIS MK 4.01**]:

We keep our 2023 EPS forecast after Maxis released in line Q2 2023 earnings, but cut 2024's to MYR0.14 [from MYR0.18] as we assume a surge in capex as Maxis spends to build out the second 5G network in Malaysia. Our 12-month target price is cut to MYR3.50 [from MYR4.50], or 25x our 2024 EPS multiple [five-year average: 24x, slight premium to reflect revenue recovery]. We expect revenue to rise +3% in 2023, driven by low-single-digit rise in service revenue [in line with guidance]. We think this will accelerate in 2024, and we project +6% service revenue growth from postpaid and home connectivity revenue. However, we expect margin pressure in 2024 as network costs and depreciation climbs in tandem with higher capex. Pressured FCF may also result in lower dividend payouts for 2023 and beyond, particularly as Maxis is relatively more leveraged vs. peers. In H1 2023, revenue +3%, on +3% service revenue growth [+5% Consumer and Enterprise]. Service EBITDA margin -0.4%pt to 46.7%. YTD DPS -20% to MYR0.08. / Ahmad Halim, CFA

May 19, 2023

06:21 AM ET... CFRA Keeps Hold Opinion on Shares of Maxis Berhad [MAXIS MK 4.35***]:

We keep our 2023-2024 EPS forecasts unchanged after Maxis released Q1 2023 earnings that met expectations. We raise our 12-month target price to MYR4.50 [from MYR4.00], or at 28x our 2023 EPS, and a premium to its 5-year average of 24x to reflect the pickup in service revenue momentum and the earnings turnaround. In Q1 2023, revenue +5%, on +4% service revenue growth [+6.4% consumer revenue on higher postpaid and fiber; Enterprise +5.5%]. Consumer postpaid led mobile gains [+10% on higher subs and stable ARPU], while prepaid was flat. EBITDA +5%, with service margin flat at 46%pt on higher device costs and higher operation costs. Capex -24%, but this may rise beyond FY 23 as Maxis plays a more direct role in the second 5G network rollout beyond DNB. We see overall revenue to rise +3%, with a low-single-digit rise in service revenue, in tandem with Maxis' guidance. We see flat EBITDA margin on strict opex cost control and likely lower capex, offset by investments into emerging Enterprise services. / Ahmad Halim, CFA

February 28, 2023

12:08 AM ET... CFRA Maintains Hold Opinion on Shares of Maxis Berhad [MAXIS MK 3.96***]:

We trim our 2023 EPS forecast to MYR0.16 [from MYR0.18] after Maxis' 2022 earnings missed expectations. We start our 2024 EPS forecast at MYR0.18. Our 12-month target price is raised to MYR4 [from MYR3.80], or at 25x our 2023 EPS, a slight premium to its 5-year average of 24x, as we expect Maxis' earnings to turn around in 2023. We project service revenue to rise +2% in 2023 on growth for postpaid user base and stable ARPUs, and in tandem with Maxis' guidance [flat-to-low single-digit growth]. Operating profit and EBITDA should stay stable on lower device sales and strict opex cost control. In 2022, revenue +6%, on +3% service revenue growth [+5% consumer revenue on higher postpaid and fiber; Enterprise flat]. EBITDA +2%, with margin -1.1%pt on higher device costs and higher staff expenses as Maxis invested in capabilities. Capex -6%. Maxis is postponing its entry into the 5G access agreement with DNB, after the Government announced it is reviewing the 5G national rollout, expected completion end Q1 2023. / Ahmad Halim, CFA

November 04, 2022

03:25 AM ET... CFRA Keeps Hold Opinion on Shares of Maxis Berhad [MAXIS MK 3.89***]:

We keep our forecasts unchanged, after Maxis released Q3 2022 earnings that met expectations. Our 12-month target price remains MYR3.80, or 21.1x our 2023 EPS, a discount to its 5-year average of 24x, appropriate given higher interest rates. In Q3 2022, revenue +4%, on growth for both Consumer [+4%, steady growth across Postpaid and Fibre & Wireless Broadband; prepaid -1%] and Enterprise [+2%, accelerating growth for ICT & Cloud Solutions]. EBITDA margin fell 0.4%pt to 47.7%, but we expect the company to post better margins in the medium term as its value proposition improves with more converged services and as its cost management capabilities increase. Interim DPS was MYR0.05 [+25%], with YTD DPS at MYR0.15 [+15%, on course to return to pre-pandemic levels]. On an annualized basis, Maxis offers an attractive dividend yield at 5.1%. We believe competition will pick up as the Celcom-Digi merger is completed, but we think Maxis is now on a stronger footing

after its recent transformation efforts. / Ahmad Halim, CFA

July 29, 2022

03:38 AM ET... CFRA Raises Opinion on Maxis Berhad to Hold from Sell [MAXIS MK 3.67***]:

We keep our 2022-2023 EPS forecasts unchanged, but we raise our 12-month target price to MYR3.80 [from MYR3.50], or 21.1x our 2023 EPS, a discount to its 5-year average of 24.2x. We assume higher long-term margins as its cost management capabilities increase under the XLR8 program and its revenue transformation towards converged solutions. Further, its attractive dividend yield [at 5.5%; YTD DPS at MYR0.10 and on course to return to pre-pandemic levels] will dampen share price pressure. We do not expect the competitive environment to deteriorate significantly with the enlarged Digi-Celcom entity, but competition may pick up. In Q2 2022, revenue +7%, continuing the recent Y/Y strength since Q4 2021, and driven by higher Consumer Postpaid [+6%], Consumer Fiber [+23%], and Enterprise Fixed [+7%]. Prepaid remains weak [-1%] but picked up +3% Q/Q. EBITDA margin -1.7%pt on higher device, staff, and roaming costs. New guidance from Maxis is for low-to-mid single-digit revenue increase with lower EBITDA margin. / Ahmad Halim, CFA

May 02, 2022

12:14 AM ET... CFRA Keeps Sell Opinion on Shares of Maxis Berhad [MAXIS MK 3.80***]:

We keep our forecasts unchanged after Maxis released in-line Q1 2022 earnings. Our 12-month target price remains at MYR3.50, or 20.6x our 2022 EPS forecast. Based on our DCF estimates, we believe the current market price factors in long-term gross margin above its five-year high, which is unrealistic in our view. In Q1 2022, revenue +7% on device sales while service revenue +3%, on growth for Consumer [postpaid, home connectivity] and Enterprise [higher business customers]. Net profit fell -11% on higher amortization charges [reduced spectrum lifespan], network, staff and handset costs. On the positive side, Q1 2022 DPS was MYR0.05 [+20%], and this may cushion downside. Maxis again did not provide guidance for 2022, citing Covid-19 and commercial 5G launch uncertainties. We expect revenue to rise +2% in 2022, on higher Mobile service revenue and growth for Enterprise and Home Fibre. Still, we see little net margin pickup, with Maxis' strict opex control likely offset by higher depreciation and amortization. / Ahmad Halim, CFA

February 25, 2022

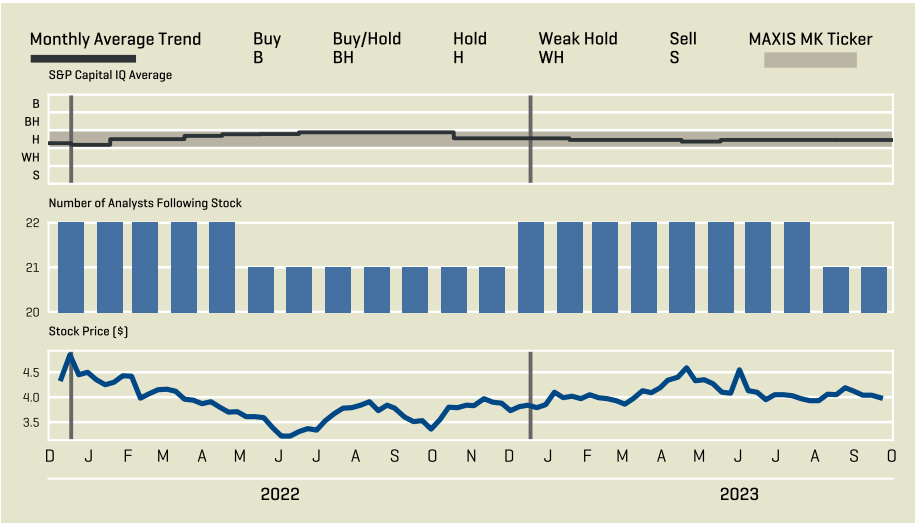
03:27 AM ET... CFRA Reiterates Sell Opinion on Shares of Maxis Berhad [MAXIS MK 4.05***]:

After Maxis reported a weak finish to 2021, we trim our 2022 EPS forecast to MYR0.17 [from MYR0.18] and start 2023's at MYR0.18. Our 12-month target price is cut to MYR3.50 [from MYR4.30], or 20.6x our 2022 EPS forecast. We estimate current market price factors in long-term gross margin above its five-year high, which we believe is unlikely in a mature market. We expect revenue to rise +2% in 2022, on higher Mobile service revenue [slower ARPU pressure, subscriber gains for postpaid] and device sales. Enterprise and Home Fibre should also see decent growth. Still, we see little net margin pickup, with Maxis' strict opex control likely offset by higher depreciation and amortization [D&A]. In Q4 2021, revenue +9% on device sales while service revenue +2%. Net profit fell -9% on higher D&A and handset costs, but on the positive side, opex -4%. 2021 revenue +3%, with FFO +7% and capex -5%. 2021 DPS was MYR0.17, flat. Maxis did not provide guidance for 2022, citing Covid-19 and commercial 5G launch uncertainties. / Ahmad Halim, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Maxis Berhad

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	4	19	4	4
Buy/Hold	0	0	0	0
Hold	12	57	12	13
Weak hold	1	5	1	1
Sell	4	19	4	4
No Opinion	0	0	0	0
Total	21	100	21	22

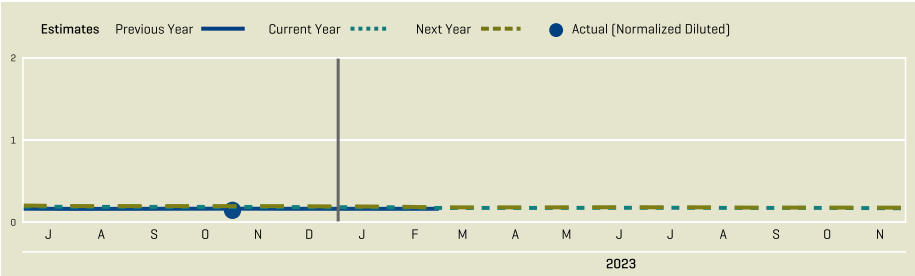
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that MAXIS MK will earn MYR 0.17. For fiscal year 2024, analysts estimate that MAXIS MK's earnings per share will grow by 1.78% to MYR 0.18.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	0.18	0.22	0.15	17	22.72
2023	0.17	0.20	0.16	17	23.12
2024 vs. 2023	▲ 2%	▲ 9%	▼ -6%	N/A%	▼ -2%
Q3'24	0.04	0.04	0.04	N/A	100.75
Q3'23	0.20	0.20	0.20	1	20.37
Q3'24 vs. Q3'23	▼ -80%	▼ -80%	▼ -80%	▼ -96%	▲ 395%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Maxis Berhad

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Maxis Berhad

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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